Global Acquisition
U.S. DEPARTMENT *of* STATE

JUSTIFICATION AND APPROVAL FOR EXPEDITED PROCEDURES PACKAGE

TO: Ousay Wahaj, Contracting Officer

CC: Trena N. Mills, Competition Advocate

FROM: Sherif Mowafy – GHSD/PTSC

DATE: September 30, 2025

RE: AID-OAA-I-15-00004/AID-OAA-TO-15-00007 of the Global Health Supply Chain – Procurement and Supply Management (GHSC-PSM) Task Order 1 (HIV/AIDS)

SUBJECT: Justification for Other than Full and Open Competition under the "Expedited Procedures Package (EPP) for Programs Managed by the President's Emergency Plan for AIDS Relief (PEPFAR).

1. This document sets forth the facts and rationale justifying the use of other than full and open competition.

Approval is requested for the justification for use of other than full and open competition pursuant to the authorities under the Expedited Acquisition and Assistance Procedures (EPP) for the President's Emergency Plan for AIDS Relief (PEPFAR), approved on January 1, 2025. Your approval of this J&A constitutes the justification for other than full and open competition as required by Tab 1 (D&F for the Authorization of Less than Full and Open Competitive Procedures in the Modification or Award of Contracts) of the EPP.

RECOMMENDATION

It is recommended that you approve this justification for use of other than full and open competition pursuant to the Action Memorandum Expedited Procedures Package (EPP) for Programs Managed by USAID for the Prevention, Care, and Treatment of HIV/AIDS under the President's Emergency Plan for AIDS Relief (PEPFAR), approved on January 1, 2025. Your approval of this J&A constitutes the justification for other than full and open competition as required by Tab 1 (D&F for the Authorization of Less than Full and Open Competitive Procedures in the Modification or Award of Contracts) of the EPP.

2. The nature and/or description of the action being approved:

As of July 1, 2025, the Department of State (DOS) has assumed responsibility for USAID contracts and for implementing the lifesaving activities as part of the Foreign Assistance Programs managed by the State Department's Bureau for Global Health, Security, and Diplomacy (GHSD).

This is a request to approve a contract modification to:
(i) extend the period of performance (PoP) from November 29, 2026, to November 28, 2027 at no additional cost.

The level of effort (LOE) is expected to remain at the current ceiling of 15,097,608 hours in for field operations; and 3,277,160 hours for headquarters operations, central procurement, and headquarters support to field programs.

Under this action Chemonics International Inc., will continue to manage HIV/AIDS and related commodity procurement, implement strategic sourcing plans, and provide system support for lifesaving programs and humanitarian activities for PEPFAR and GHSD programs.

1. **Description of the supplies or services required, including an estimated value:**

TO1's current ceiling is $7,560,230,299 with $6,723,941,684.79 obligated to date. The GHSC-PSM TO1 contract dedicates approximately 80% of its budget to the procurement of HIV/AIDS, maternal and child health and nutrition (MCHN), and other lifesaving commodities, and the remaining 20% is dedicated to systems support to more than 50 countries. TO1 procures more than 4,500 HIV/AIDS commodities including: treatment, testing, pre-exposure prophylaxis, laboratory consumables and equipment, as well as MCHN drugs, among other lifesaving items. In addition, it is designed to respond to countries' needs in emergency situations. Examples of such emergencies include the USG responses to COVID-19, Ebola, and Zika.

GHSC-PSM TO1 covers several product categories, including ARVs, RTKs, VL, EID Essential Medicines, Maternal and Child Health, and TB. Each products category is associated with lead times for ordering, manufacturing, and delivery. Based on the long lead-time necessary for the procurement of some commodities, GHSC-PSM TO1 is scheduled to stop placing orders towards the end of August 2025, and to stop delivering commodities after August 2026. It is critical that this task order's period of performance be extended, so the GHSC-PSM contractor Chemonics can renegotiate and/or immediately extend subcontracts to allow manufacturers to plan manufacturing schedules with sufficient lead time and continue to place orders for health commodities to fulfill supported program needs and deliver in a timely manner. Ceasing life-saving health commodity deliveries in August 2026 would result in severe interruptions to the GHSD programs and would impair the U.S. Foreign Assistance objectives.

Based on historical data, and Country Operational Plans (COP) for the current and upcoming fiscal year(s) FY25 and FY26, it is anticipated that the contractor will expend $836,288,614 in commodity procurement and services over the extended Period of Performance. The rest of the budget is for indirect costs, other direct costs and fee.

This contract does NOT allow fee on commodities. Fee applies to the Level of Effort and other direct costs.

3. **Statutory authority permitting other than full and open competition:**

This action is requested under the authority of Agency for International Development Acquisition Regulation (AIDAR) 706.302-70(b)(3)(ii) and Action Memorandum entitled

"Expedited Procedures Package (EPP) for Programs Managed by the U.S. Agency for International Development (USAID) for the Prevention, Care, and Treatment of HIV/AIDS under the President's Emergency Plan for AIDS Relief (PEPFAR)," effective January 1, 2025. The EPP states that it is applicable when funding is at least 50% for HIV/AIDS. Of the proposed increase, approximately 83% is expected to be funded with HIV funds, and approximately 17% will come from other health elements (e.g., malaria, family planning, and maternal and child health). Therefore, the EPP may be applied to this action.

4. A discussion of the nature of the acquisition that requires use of the authority cited.

The principal reason for the extension is to avoid impairment of the foreign assistance objective of ensuring that there be no disruption in the essential quality assured life-saving commodities and services for the prevention, diagnostics, and treatment of people living with HIV/AIDS.

The extension of the current contract is necessary to allow sufficient time for the follow-on program to be redesigned and recompeted. Recent outcomes of the Foreign Assistance Review, combined with evolving programmatic priorities, require adjustments to the program's scope and objectives. These shifts necessitate additional planning and coordination to ensure that the successor award(s) is aligned with the GHSD and DoS strategic direction and properly structured to meet future requirements.

The GHSD and DoS are in the process of restructuring and designing the next phase of the Global Health life-saving program and activities, including competing and awarding new supply chain contract(s). Experience has taught us that there has to be a transition and overlap period of 12-18 months for the new contractor(s) to assume full responsibility. One of the lessons learned during a previous transition was the need for a flexible transition period to ensure a seamless supply of essential medicines and other commodities. The other was the need for redundancy during the transition and even after the new contractors have assumed full responsibility.

Global Health Supply Chain is a $11 billion dollar program, with TO1 contract share being approximately 70%. The contractor currently has presence in 33 countries with field offices ranging from 10-100 staff depending on the size of the program and delivers to more than 48 countries. It employs 900 staff (175 at HQ and 725 in the field) staff comprised of subject matter experts in each of the components of the supply chain. The contractor currently procures 4,500 different products from 400 manufacturers and suppliers, it subcontracts with a dozen U.S. and international subcontractors, it contracts 4 logistics companies that manage than 100,000 freight lanes, manages state of the art warehouses in almost all countries where it operates. Given the scale and complexity of this operation, careful close-out and start-up management, and adequate transition time are essential; otherwise, there is a significant risk of destabilizing the entire program and disrupting critical supply chain functions.

It is imperative that the GHSD global health commodity supply chain follow-on program and its contractor(s) assume full responsibility before the existing awards, including TO1, are closed out. This will prevent commodity stock-outs and ensure uninterrupted delivery of life-saving medicines.

5. **A description of efforts made to ensure that offers are solicited from as many potential sources as is practicable.**

Given the nature of the action, solicitation of offers from other sources is not applicable. Publication of a notice to amend the contract is not required per the determination at AIDAR 705.202(b). See Section 9 below for further justification.

6. **A determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable.**

This is a period of performance action at no additional cost to the Government. The current Task Order Total Estimate Cost (TEC) of $7,560,230,299.00 remains unchanged. The Contracting Officer has determined that the anticipated cost of the additional quantities of supplies/services to be acquired from Chemonics International, and covered by this J&A, will be fair and reasonable. This anticipated cost is based on the budget pipeline prepared by the COR and the historical costs incurred under the current contract. There is no change in the scope of work. All previously-incurred costs were determined to be fair and reasonable.

7. **A description of the market research conducted (see FAR Part 10) and the results or a statement of the reason(s) market research was not conducted.**

Additional market research was not conducted because, as discussed above, the extension is intended to provide continuity of services and a transition to the GHSD follow-on program.

8. **Other facts supporting the use of other than full and open competition.**

DoS considered the option of awarding a bridge contract using full and open competition, which could allow to obtain additional value or better contractual terms, but concluded that this is not a viable alternative. Any potential benefits are offset by the associated risk to the program as a result of multiple transitions, as well as the cost of start-up and close-out of a new contract in such a short period of time. With a program that is established in 33 countries and serving 25 additional countries, supported by a management information system that is operational and responsive to client countries' needs, GHSC-PSM could not transition to a bridge contract in the near term without significant disruptions to the health commodity ordering and delivery, as well as provision of technical assistance. Other unacceptable risks that may threaten human lives (i.e., an impairment of a foreign aid objective) during a bridge contract and thus preclude other sources from practicably competing for this requirement include the risk of significant delayed deliveries, potentially leading to stock-outs in life saving commodities for HIV/AIDS, untested quality control practices, and incalculable time and resources dedicated to establishing complex new subcontracts and training for a new ordering platform and/or information system.

In addition to the gaps in service noted above, there is also an inherent risk associated with unforeseen challenges and costs of multiple transitions. Each transition adds complexity and risk to the seamless supply chain of life saving commodities. Therefore, the best and most viable option is an extension of the current task order through November of 2027 to allow time for the GHSD to complete the restructuring of the supply chain program and to fully transition to follow-on awards.

9. Sources, if any, that expressed, in writing, an interest in the acquisition.

None.

10. The actions the Agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required:

DoS intends to compete future requirements in accordance with the comprehensive Federal Acquisition Regulation (FAR) overhaul guidelines.

11. Technical or Requirements Personnel Certification:

In accordance with FAR 6.303, I hereby certify that the technical statements included above which form a basis for the justification are complete and accurate in accordance with EPP entitled "Expedited Procedures Package (EPP) for Programs Managed by the President's Emergency Plan for AIDS Relief (PEPFAR) under the Department of State (DoS)" effective January 1, 2025.

Sherif A El Mowafy Digitally signed by Sherif A El Mowafy Date: 2025.09.30 13:10:58 -04'00'

Sherif Mowafy, COR

12. General Council Clearance:

Diane A Perone Digitally signed by Diane A Perone Date: 2025.09.30 10:28:45 -04'00'

Diane Perone, Legal Counsel

13. Contracting Officer Approval:

Ousay Wahaj Digitally signed by Ousay Wahaj Date: 2025.09.30 13:27:51 -04'00'

Ousay Wahaj, Contracting Officer

Tab 1 - Determination and Findings (D&F)—Authorization for Use of Other than Full-and-Open Competition in the Award or Modification of Contracts Funded under the President's Emergency Plan for AIDS Relief